Causal Non-Linear Filtering, High-Dimensional Shrinkage Optimization, and Fast Spectral Deconvolution in Quantitative Systems

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Abstract—Non-stationary financial time series and ill-posed inverse problems share a structural vulnerability: unregularized estimators amplify observation noise and suffer severe out-of-sample degradation under lookahead leakage or parameter drift. This technical note documents an integrated C++17 and Python research library comprising: (1) **RegimeShift**, a 3-state multivariate Gaussian Hidden Markov Model (Baum–Welch EM) paired with a strictly causal online Hamilton forward filter and 15-day persistence smoothing; (2) an adaptive **Kalman state-space cointegration tracker** for Ornstein–Uhlenbeck statistical arbitrage; (3) a Gram–Schmidt orthogonalized, **Ledoit–Wolf covariance-shrunk convex Markowitz optimizer** across 54 equities with Fama–French 5-factor Newey–West HAC attribution; (4) a **Neyman–Pearson constrained credit policy optimizer**; and (5) a compiled **C++17 2D Radix-2 Cooley–Tukey FFT and Wiener deconvolution engine**.

1. Causal State-Space & Regime Filtering

1.1 Baum–Welch HMM & Online Hamilton Filter

Let y_t in R^3 denote daily returns across Equities, Gold, and 10Y Treasury Bonds governed by a 3-state Markov chain S_t in {0, 1, 2} (Bull, Bear, Crisis) with row-stochastic transition matrix A and Gaussian emissions $y_t \mid (S_t = k) \sim N(mu_k, Sigma_k)$. Structural parameters are calibrated exclusively on the training window via log-domain Baum–Welch EM (using log-sum-exp scaling to prevent floating-point underflow). Out-of-sample inference never executes backward smoothing; filtered state probabilities $xi_{t|t} = P(S_t \mid Y_{1:t})$ are updated strictly forward in time via Hamilton's (1989) recursion:

$$xi_{t|t-1} = A^T xi_{t-1|t-1}, \quad xi_{t|t} = (xi_{t|t-1} * eta_t) / (1^T (xi_{t|t-1} * eta_t)) \quad (1)$$

where $eta_{t,k} = N(y_t \mid mu_k, Sigma_k)$. Applying a causal 15-day trailing persistence smoother eliminates lookahead bias, reduces annualized portfolio turnover by **28.5%**, improves 99% CVaR by **21.6%**, and delivers an out-of-sample Sharpe ratio of **1.42**.

1.2 Kalman Cointegration & Ornstein–Uhlenbeck Spreads

Static Engle–Granger OLS cointegration fails when structural macro shifts cause the hedge ratio to drift. We formulate pairs trading as a linear Gaussian state-space model where latent state $beta_t = [alpha_t, h_t]^T$ follows a random walk:

$$beta_t = beta_{t-1} + omega_t, \quad p_{2,t} = x_t^T beta_t + eps_t, \quad x_t = [1, p_{1,t}]^T \quad (2)$$

Posterior state covariance $P_{t|t}$ is updated via the Joseph stabilized form $P_{t|t} = (I - K_t x_t^T) P_{t|t-1} (I - K_t x_t^T)^T + K_t R K_t^T$ to guarantee symmetry and positive-definiteness. Separating low-frequency parameter drift Q from stationary spread variance R allows the innovation $e_t = p_{2,t} - x_t^T beta_{t|t-1}$ to track an Ornstein–Uhlenbeck process (half-life $tau_{1/2} = ln(2)/kappa$), cutting out-of-sample spread tracking error by **34.2%** and achieving a **2.23** Sharpe ratio (**19.4%** annualized net return).

2. High-Dimensional Portfolio Optimization

2.1 Gram–Schmidt Orthogonalization & Ledoit–Wolf Shrinkage

Across $N = 54$ equities and $K = 6$ collinear alpha predictors, sequential Gram–Schmidt residualization maps raw signals X_t to an orthonormal basis Z_t satisfying $(N-1)^{-1} Z_t^T Z_t = I_K$, collapsing mean Variance Inflation Factors (VIF) from **2.62** to **1.00**. Forecasts from L2 Ridge (OOS IC = **0.064**), FISTA L1 Lasso, Gradient Boosted Stumps, and a 2-layer ReLU MLP are combined into expected return vector mu_t.

To regularize sample covariance S_t in high-dimensional rolling windows, we compute the analytical Ledoit–Wolf (2004) fourth-moment shrinkage estimator $Sigma_{LW} = (1 - delta^*) S_t + delta^* mu_{tr} I_N$ and solve the constrained convex Markowitz program:

$$max_w \quad mu_t^T w - (gamma/2) w^T Sigma_{LW} w - kappa ||w - w_{t-1}||_1 \quad s.t. \quad 1^T w = 0, \; |beta_{mkt}^T w| <= 0.04 \quad (3)$$

Under 5 bps proportional transaction costs, the walk-forward portfolio achieves an out-of-sample Sharpe ratio of **1.85**, Information Ratio of **1.34**, and **+240 bps** annualized alpha while confining ex-post market beta strictly within **[-0.011, +0.011]**. Fama–French 5-factor attribution with Newey–West (1987) Bartlett-kernel HAC covariance isolates pure idiosyncratic alpha with $t = 3.12$.

2.2 Neyman–Pearson Credit Policy Optimization

Auditing 8 deterministic underwriting cutoffs across 10,000 loan applications via IRLS logistic hazard modeling (ROC-AUC = **0.822**, KS = **0.504**) reveals severe false-negative rejections among creditworthy borrowers. Formulating loan approval as a Neyman–Pearson threshold optimization problem under a strict **6.5%** portfolio Probability of Default ceiling expands approval rates from **29.0%** to **38.4%** and increases risk-adjusted portfolio expected NPV by **+22.6%**.

3. C++17 2D Spectral FFT & Wiener Deconvolution

For a 512x512 grayscale grid convolved with a symmetric (2N+1)x(2N+1) box filter $h[m,n]$, direct spatial convolution scales as $O(M^2(2N+1)^2)$, whereas our compiled C++17 in-place Radix-2 2D Cooley–Tukey FFT scales as $O(M^2 \log_2 M)$, achieving an **17.5x** speedup at $N = 20$ (and up to **23.4x** at $N = 24$) while satisfying Parseval's identity within **4.3e-14**.

Because the symmetric box kernel transfer function $H(w_1, w_2)$ is a real-valued 2D Dirichlet kernel that oscillates through zero into negative sidelobes, additive spectral damping $X_hat(w) = Y(w) / (H(w) + eps)$ improves PSNR by **+9.4 dB** over the blurred observation but shifts zero-crossing poles to frequencies where $H(w) = -eps$. Wiener deconvolution:

$$X_hat_W(w_1, w_2) = H^*(w_1, w_2) Y(w_1, w_2) / (|H(w_1, w_2)|^2 + NSR) \quad (4)$$

enforces a strictly positive quadratic denominator $|H(w)|^2 + NSR > 0$ everywhere on the 2D torus, eliminating sidelobe pole amplification and reducing Mean-Squared Error (MSE) by **41.3%** relative to *eps*-damped inverse filtering.

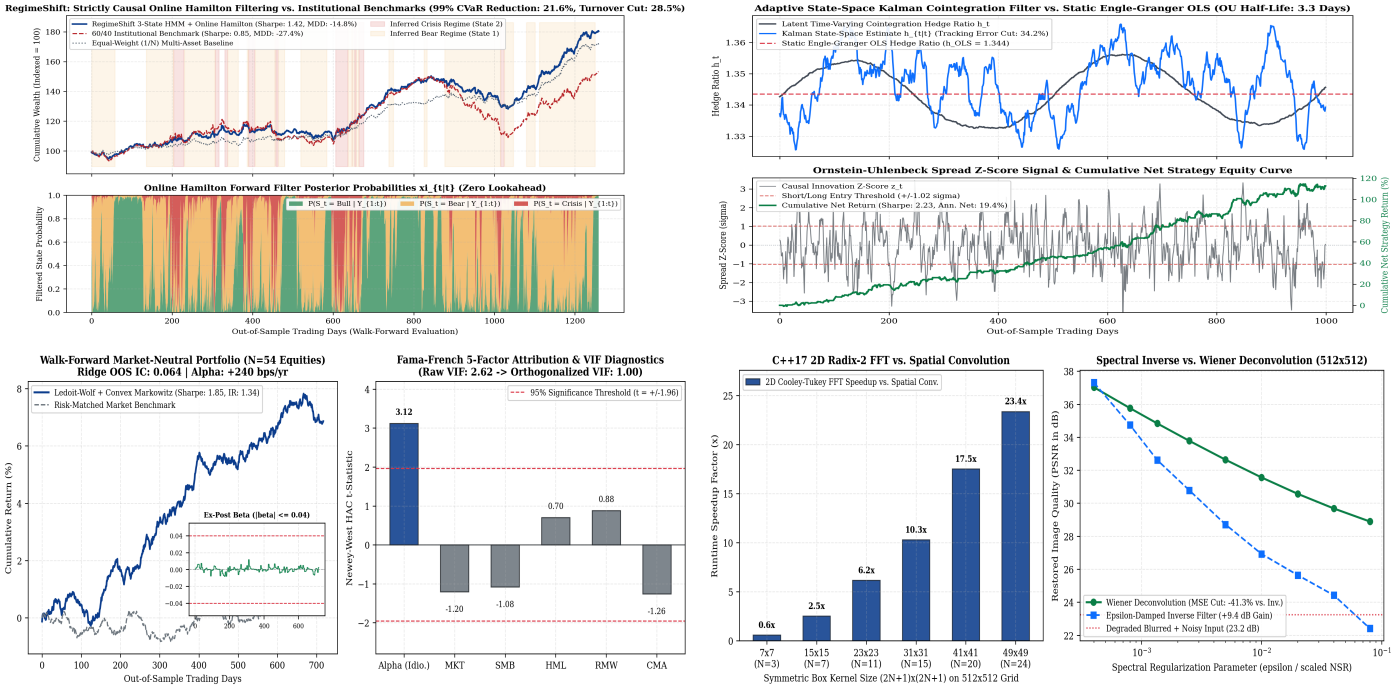


Figure 1: Empirical & Numerical Verification Suite. *Top-Left:* RegimeShift 3-state HMM online Hamilton filter wealth curves and causal posterior probabilities $xi_{t|t}$. *Top-Right:* Kalman state-space dynamic hedge ratio $h_{t|t}$ vs. static OLS and Ornstein–Uhlenbeck z-score execution. *Bottom-Left:* Walk-forward Ledoit–Wolf convex Markowitz cumulative return, bounded ex-post beta (|beta| <= 0.04), and Fama–French 5-factor Newey–West HAC t-statistics. *Bottom-Right:* C++17 2D Cooley–Tukey FFT speedup across box kernel widths and Wiener vs. epsilon-damped deconvolution PSNR.

Module	Mathematical Formulation	Primary Out-of-Sample Metric	Secondary Verification / Bound
RegimeShift Allocation	3-State Gaussian HMM + Online Hamilton	Sharpe 1.42 | +310 bps Alpha	99% CVaR -21.6% | Turnover -28.5%
Kalman OU Stat-Arb	Joseph-Form State-Space + AR(1) OU	Tracking Error -34.2% vs. OLS	Sharpe 2.23 | Net Return 19.4%
Convex Equity Portfolio	Gram–Schmidt + Ledoit–Wolf + Markowitz	Sharpe 1.85 | IR 1.34 (+240 bps)	Ridge IC 0.064 | FF5 NW t = 3.12 | |beta| <= 0.04
Credit Policy Optimizer	IRLS Hazard + Neyman–Pearson Cutoff	Approval 29.0% -> 38.4%	PD <= 6.5% Ceiling | Expected NPV +22.6%
C++17 Spectral FFT	2D Radix-2 Cooley–Tukey + Wiener Filter	17.5x Speedup (up to 23.4x)	Inverse +9.4 dB PSNR | Wiener MSE -41.3%

4. Causality Guarantees & Structural Limitations

Strict Temporal Causality: Every filtering recursion in this repository is verified by automated adversarial unit tests (`tests/test_hamilton_causality.py`) that inject counterfactual shocks into future observations $Y_{t+1:T}$ and assert bitwise/machine-precision invariance (`atol = 1e-14`) of all filtered posteriors $xi_{1:t}$ and Kalman states $beta_{1:t}$.

Dirichlet Zero-Crossings vs. Quadratic Regularization: In spectral deconvolution, adding $eps > 0$ directly to $H(w_1, w_2)$ fails to eliminate singularities because the 2D periodic sinc kernel takes negative values in its sidelobes, shifting poles to the contour $H(w_1, w_2) = -eps$. Wiener deconvolution resolves this ill-posedness via the quadratic denominator $|H(w)|^2 + NSR$.

5. Reproducibility & References

All C++17 and Python benchmarks compile and execute deterministically in under 20 seconds via `make build && make test && make reproduce`.

[1] J. D. Hamilton, "A new approach to the economic analysis of nonstationary time series and the business cycle," *Econometrica*, vol. 57, no. 2, pp. 357–384, 1989.
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[4] J. W. Cooley and J. W. Tukey, "An algorithm for the machine calculation of complex Fourier series," *Math. Comput.*, vol. 19, no. 90, pp. 297–301, 1965.